

Claim Payment Policy

Formal RAG knowledge content for claim payment eligibility and payment holds

Purpose

Define the conditions that must be satisfied before an approved claim may proceed to payment. Payment is authorized only when approval is complete, coverage is confirmed, required documentation is received, and no fraud review is pending.

Payment Eligibility Matrix

Claim condition	Payment decision
Claim approved, coverage confirmed, documents received, and no fraud review pending	Authorize payment.
Claim approval pending	Do not issue payment; retain pending status.
Fraud review pending	Place or retain a payment hold.
Required documentation missing	Hold payment until required information is received and validated.
Coverage not confirmed or invalid	Do not authorize payment.
Claim denied	Do not issue payment.

Core Payment Rules

- Claim approval must be complete before payment authorization.
- Policy coverage must be confirmed.
- All required supporting documents must be received and validated.
- No active fraud review or fraud-related payment hold may remain.
- A denied claim is not eligible for payment.
- If a fraud review begins after approval but before payment, place the payment on hold until the review is resolved.

RAG Question and Answer Examples

Q1. When can a claim payment be issued?

Answer: Payment may be issued only after all required approvals are complete, coverage is confirmed, required documents are received, and no fraud review is pending.

Q2. Can a denied claim be paid?

Answer: No. A denied claim is not eligible for payment.

Q3. Can a claim under fraud investigation be paid?

Answer: No. Payment must remain on hold until the fraud investigation is completed and the hold is resolved.

Q4. What conditions must be met before payment?

Answer: The claim must be approved, coverage must be confirmed, required documents must be received, and no fraud review may be pending.

Q5. What happens after a claim is approved?

Answer: The claim proceeds to payment processing only if all remaining payment eligibility requirements are satisfied.

Q6. What happens if a claim enters fraud review after approval?

Answer: Any pending payment must be suspended until the investigation is completed.

Q7. What payment status should be used while approval is pending?

Answer: The payment should remain pending and must not be released.

Q8. Can payment be released if required supporting documents are missing?

Answer: No. Required documentation must be received and validated before payment is authorized.

Q9. Who authorizes payment after claim approval?

Answer: Payment authorization follows the organization's approved payment workflow and internal controls.

Q10. What happens if policy coverage is invalid?

Answer: Payment must not be issued because the claim is not eligible for coverage.

Example Scenarios

Scenario	Payment response
The claim is approved, coverage is confirmed, documents are complete, and no fraud review exists.	Authorize payment.
The claim is approved, but fraud review is pending.	Hold payment until the investigation is completed.
The claim is denied.	Do not issue payment.
The claim is approved, but required supporting documentation is missing.	Hold payment until the required documents are received and validated.

Payment Decision Logic

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IF ClaimApproved = YES
  AND CoverageConfirmed = YES
  AND RequiredDocumentsReceived = YES
  AND FraudReviewPending = NO
THEN
  Authorize payment
ELSE
  Hold or reject payment based on the unmet condition
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Scope note: This knowledge document provides sample payment rules for a RAG demonstration. Payment methods, service standards, tax treatment, banking validation, recovery, and organization-specific financial controls are outside its scope.